

Portfolio report: 2026-10-05 (Monday)

Prices as of the Monday 2026-10-05 close (US Eastern). News window: Friday 2026-10-02 midday through Monday 2026-10-05 after the close. Yesterday's report covered the weekend, so this one concentrates on what is new since Sunday evening. Written in the early hours of Tuesday 2026-10-06 (Madrid), after a pause caused by a usage limit.

Your trades are now open, but your real prices are not in the sheet yet. All 16 rows show as open, dated Monday 5 October. Column Q (your fill price [the price your Fidelity order actually got]) is empty. So the sheet uses Monday's closing price as your entry price, and your profit or loss shows \$0.00, because the sheet compares Monday's close with itself. Market orders placed before the open usually fill near the opening price. At Monday's opening prices your 16 trades would have cost about \$198.25 and are now worth \$199.47: roughly **+\$1.22 (+0.62%)**, most of it Moderna (+\$1.17). That is an estimate, not your statement; type your fills into column Q for exact numbers.

The bottom line

- **A calm first day, slightly better than the market.** Most of Monday's moves came from the whole market and from industry groups, not company news. The S&P 500 (500 large US companies) rose 0.66%. The Nasdaq [an index of the companies listed on the Nasdaq exchange, heavy in tech] rose 1.05% to a record close. After Friday's weak jobs report, traders cut their bets on another US interest-rate rise [the central bank making borrowing more expensive to slow price rises], because a weaker economy makes a rise less likely. Shares rose even though the 10-year US government bond yield [the interest rate the US government pays to borrow for 10 years] rose to 5.31%. Higher yields usually weigh on shares, because safe bonds then pay more [Yahoo Finance, 2026-10-05](#). At your share counts, your 16 stocks rose 1.08% from Friday's close, from \$197.35 to \$199.47: a bit more than the S&P 500's 0.66%.
- **The biggest news was a share sale.** Applied Optoelectronics (ticker AAOI; the company calls itself AOI) confirmed it has finished selling \$600 million of new shares. It sold 5.69 million shares at an average of \$105.36, about 6.7% more shares [PR Newswire, 2026-10-05](#). That means each existing share, including your 0.070, now owns a slightly smaller slice of the company. This is not a new sale. AOI announced the program on 2026-08-21, before you bought, and your approved thesis lists it among the risks you accept. But with it, AOI's share count is up about 12.5% in five months. Read literally, that crosses the line in your own AAOI trigger 6 [a warning sign you wrote down in advance; this one is "shares up more than 10% in any six months"]. So it is a **THESIS ALERT**: a reason to re-read your AAOI thesis, not an instruction. The stock still rose 5.17%, and nobody published why. Two explanations fit (inference, low-to-medium confidence): the end of the company's daily selling may have helped, or the rally in optical stocks [makers of laser and fibre-optic parts for data centers] over the previous two days simply continued.
- **Rules:** two stocks moved more than your 5% "explain this" line: Moderna (MRNA) +6.95% and AAOI +5.17%. Moderna had no company news, and no confirmed cause was published. Biotech stocks rose as a group. One market-news site, citing no evidence, pointed to buying ahead of Moderna's entry into the Nasdaq-100 [a list of 100 large companies on the Nasdaq exchange that index funds copy] on 10-09. It also pointed to the cancer-vaccine trial results due on 10-24. Neither move was extreme for these very jumpy stocks. Measured by their closing-price changes over the last 20 trading days, Moderna's move was about one and a half typical days and AAOI's about one. No stop-loss [a price you set in advance at which you would sell to limit a loss] or target [a price you set at which you would take profit] can fire, because columns S and T of your sheet are empty.
- **TSMC (TSM) had the most unusual move of the day, and no single cause is confirmed.** It rose 2.75%, more than its typical 2.2% day. The part that was TSMC's own, after removing the market and

chip stocks, was about one and a half normal swings. One possible reason: over the weekend, Elon Musk confirmed early talks about TSMC helping his "Terafab" chip-factory project in Texas [Motley Fool, 2026-10-05](#). These are tier-3 reports [news and commentary sites: useful, but to be confirmed; tier 1 means the company or a regulator said it], with no TSMC comment. Another candidate: artificial-intelligence (AI) chip leaders such as NVIDIA also rallied, although chip stocks as a group did not beat the market.

- **Your approved theses are now the yardstick.** Each "Thesis check" now tests your own pillars [the things that must stay true for your reason to own a stock] and triggers. Today: 8 Intact, 7 Watch, 1 Challenged (AAOI). Intact means nothing important contradicts your reasons. Watch means one pillar is weaker or uncertain. Challenged means a company filing or a top news source contradicts a pillar. One correction to yesterday's report: VIAVI's chief financial officer also sold about \$2.04 million of shares on 2026-08-31, outside a pre-set trading plan. That makes four insiders [a company's top managers and directors] selling about \$6.2 million in August and September, not three (VIAV section). Sales outside a plan get more attention, because the seller chose the timing.

Your rules today

These are your own rules from config/rules.toml and your sheet. The report shows which fired and the evidence both ways, never a buy or sell call: the decision, and the knowledge of your whole situation, are yours.

Stock	Status	Why
AAOI	WATCH + THESIS ALERT	Up 5.17%, more than your 5% line; no published reason. It confirmed its \$600 million share sale is complete: 5,694,845 new shares, about 6.7% more (source 1). With it, shares went from 80.24 million (2026-05-05) to at least 90.26 million, about 12.5% in five months. Read literally, that meets your AAOI trigger 6, "shares outstanding up more than 10% over any six-month period" (source 4; our calculation). It also matches your general thesis breaker [a warning event you listed in config/rules.toml for every stock]: "a large share sale that dilutes existing shareholders". The program was announced on 2026-08-21, before you bought.
MRNA	WATCH	Up 6.95%, more than your 5% line. There was no company news and no confirmed reason. Against its last 20 trading days, a 6.95% day is about one and a half typical days: noticeable, not extreme.

Stock	Status	Why
CRDO	No rule fired	The Chief Legal Officer sold 5,000 shares (about \$1.03 million, about 3% of his holding) on 2026-10-01, outside a pre-set trading plan (source 2). That is one person, so it does not meet your "several insiders" breaker.
VIAV	No rule fired	Correction to yesterday: the chief financial officer sold about \$2.04 million on 2026-08-31 outside a plan (source 3). Your VIAV trigger 6 (two or more insiders within a month) was already met in August–September. Those sales came before today's news window, so nothing new fired today.
STRL, CRWD, LITE, TSM, AMD, PANW, BE, SNOW, A, AXTI, FORM, ASML	No rule fired	No move over 5%, no stop or target set in your sheet, no breaker found.

Sources for the table:

- (1) AAOI: [PR Newswire, 2026-10-05](#)
- (2) CRDO: [SEC Form 4, 2026-10-05](#)
- (3) VIAV: [SEC Form 4, 2026-08-31](#)
- (4) AAOI: [SEC XBRL share counts, 2026-08-06](#)

Not checkable yet: your **stop-loss** and **target** rules use columns S and T of your sheet, which are empty for every trade. Four other rules are switched off in `config/rules.toml`: max-loss, trailing, long-trend and concentration. They would flag a big loss from your entry price, a fall from the best price since you bought, a long downtrend, and one stock growing too large a share of your money.

Proposed, for you to decide (nothing has been changed): (1) Your AAOI trigger 6 says "again" and counts "any six-month period". Part of today's 12.5% comes from first-half share sales you already knew about when you approved the thesis. Counted only from the end of June (84.4 million shares), the rise is about 7%. You may want to say in `theses/AAOI.md` which reading you meant. (2) Your general breaker says "a large share sale" but gives no size. Your own triggers range from 3% (MRNA) to 5% (LITE, SNOW, AXTI, VIAV, STRL) to 10% (AAOI). If you want one line for all, write it into `config/rules.toml`.

Position: AAOI (Applied Optoelectronics)

Bottom line: AAOI rose 5.17% on the day it said it had finished selling \$600 million of new shares, and nobody published why it rose. For your thesis, the sale is the bigger news: it pushed the share count past the line in your trigger 6. Your 5% rule fired; most of the move was AOI's own, but within its normal range. Thesis: **Challenged:** read literally, your trigger 6 (shares up more than 10% in six months) is met, and your pillar "dilution slows down" is not being met.

Where it stands 0.070 shares, entry \$121.57 (the sheet's estimate, Monday's close; your fill price is not entered yet), worth \$8.51, \$0.00 since you bought; Monday +5.17%. It opened at \$118.64, so a fill near the open would show about +\$0.20. Up 25.6% over the past five trading days, yet still 48% below its May high of \$233.67. A typical day moves it about 7%, so Monday's 5.17% was an ordinary day for this stock

(data/metrics/2026-10-05.json).

What happened, and why *Market vs company*: of Monday's +5.17%, about +1.06 points came from the market, -0.29 from chip stocks and +4.41 from AOI itself. For this stock, that company part is normal day-to-day noise (z-score 0.56 [the move measured in this stock's normal-sized swings; 0.56 is about half of one]). Over five days, 15.0 of the 25.6 points were its own (z-score 0.85) (attribution-2026-10-05.json).

- Before the open, AOI said it had completed its third "at-the-market" share-sale program of the year [selling new shares a little at a time into the market]. It sold 5,694,845 new shares at an average of \$105.36 and raised \$588.0 million after fees. That is about three times its record quarterly revenue of \$191.9 million (our calculation). The money is for production equipment, research and general purposes, which may include repaying debt. No new program was announced [PR Newswire, 2026-10-05](#). The new shares equal about 6.7% of the 84.57 million shares shown in Monday's Form 144 [an insider's notice of a planned sale, which also states the company's share count] (our calculation).
- Why would the price rise on dilution news? No one published a reason, but two explanations fit. First, the selling has stopped. During the program, the company sold new shares into the market day after day. That steady extra supply can hold a price down (a "selling overhang"), and the release says the selling has finished [PR Newswire, 2026-10-05](#). That may have helped (inference, low-to-medium confidence). Second, and equally likely: the optical-stock rally that lifted AAOI 8.1% on Thursday and 7.7% on Friday, without news, simply continued. During Monday it even dipped to \$112.80, below Friday's close, before ending at \$121.57 (data/prices/AAOI.csv).
- An officer, Shu-Hua (Joshua) Yeh, filed a notice with the SEC (Securities and Exchange Commission, the US market regulator) that he plans to sell 6,000 shares (about \$0.72 million) [SEC Form 144, 2026-10-05](#). The filing lists a 10b5-1 plan date of 2026-03-19, meaning a selling schedule set months ahead. The sale is about 0.007% of all shares: routine.

How this works An "at-the-market" (ATM) program lets a company sell new shares a little at a time through a broker, at whatever the market price is, instead of in one big sale. Think of a baker who sells a few extra loaves each day rather than flooding the shop at once. The analogy has a limit: each extra "loaf" is a new piece of the company itself. So the program raises cash quickly without a discount, but every new share shrinks each owner's slice of the company. AOI is spending the money on factories for its optical transceivers [plug-in modules that turn electrical signals into light and back]. Data centers use them to send data between computers over glass fibre. Its buyers are a few very large customers: the top 10 bring in 99% of revenue (see "Case to retreat"). It plans capacity for about 650,000 high-speed units a month by the end of 2026. Units actually sold are not disclosed in the sources used here. Second-quarter (Q2) revenue was a record \$191.9 million, up 86.4% from a year earlier [AOI Q2 2026 results, 2026-08-06](#).

Case to stay

1. Q3 guidance [the company's own forecast] is \$255–290 million, well above Q2's \$191.9 million [AOI Q2 2026 results, 2026-08-06](#).
2. The \$588.0 million pays for the factory build-out, so AOI may not need to raise more for this plan soon (inference, low confidence: AOI has added shares every quarter since late 2024 and ran three sale programs this year) [PR Newswire, 2026-10-05](#).
3. The selling program is finished and no new one was announced (same release). It reported five record quarters in a row and its first adjusted profit [profit by the company's own measure, which leaves out some costs] (Q2 release above).

Case to retreat

1. Dilution [new shares shrinking each owner's slice] has not slowed. Shares rose about 5–7% in each of the last three stretches between share counts. They went from 55.5 million in May 2025 to at least 90.3 million now: about 62% more in 17 months. So each share owns about 38% less of the company than in May 2025 [SEC XBRL share counts, 2026-08-06](#) [PR Newswire, 2026-10-05](#) (our calculation).

2. Its top 10 customers bring in 99% of revenue, so losing one big buyer would hurt. Customers owed it \$314.0 million for goods already delivered, and one distributor [a middleman that resells its products] owed \$211.0 million of that, about two-thirds [AOI 10-Q, 2026-08-06](#).
3. It still loses money under GAAP [the official accounting rules]: a net loss of \$22.8 million last quarter, on \$191.9 million of revenue. Its share price fell about 66% at its worst over the past year, and a typical day moves it 7% (data/metrics).

Thesis check Challenged (Watch yesterday). Trigger 6 in theses/AAOI.md counts any six-month rise in shares above 10%. AOI's filings show 80.24 million shares on 2026-05-05 and 84.57 million on 2026-08-03 [SEC XBRL share counts, 2026-08-06](#). Add the 5.69 million just sold and there are at least 90.26 million now. That is about 12.5% in five months, so, read literally, the line is crossed (our calculation). We do not rate it Broken [the worst status: a trigger has clearly happened] for two reasons. First, your trigger says "again". Second, part of that rise came from first-half sales you already knew about when you approved the thesis: counted from the end of June only, the rise is about 7%. Pillar 5 ("dilution slows down") is not being met either, and AOI's own filings show it: shares grew about 6.7%, 5.4% and 6.7% in the last three stretches between counts. The growth pillars (guidance, factory ramp) are unaffected.

Coming up Q3 results estimated early November (not yet announced).

Position: MRNA (Moderna)

Bottom line: Moderna jumped 6.95% with no company news, and no confirmed reason was published. Biotech stocks rose too, and one market-news site (citing no evidence) pointed to buying ahead of its Nasdaq-100 entry (10-09) and the detailed results of its skin-cancer (melanoma) vaccine trial (10-24). Your 5% rule fired, but against its recent swings the move was noticeable, not extreme. Thesis: **Watch**, unchanged: the stock's value still rests on the 10-24 results.

Where it stands 0.100 shares, entry \$203.21 (the sheet's estimate), worth \$20.32; Monday +6.95%. It opened at \$191.51, so a fill near the open would now show about +\$1.17 (+6.1%). It is 2.7% below its 52-week high [its highest price of the past year] of \$208.90. A typical day's swing, from low to high, is about 6.8% (data/metrics).

What happened, and why *Market vs company:* of Monday's +6.95%, about +1.25 points came from the market, +1.42 from biotech stocks and +4.28 from Moderna itself. The model calls that company part normal (z-score 0.39). But its yardstick includes the 177% jump in August, which makes later moves look small. Measured against its closing-price changes over the last 20 trading days, a 6.95% day is about one and a half typical days: noticeable, not extreme. Trading volume [how many shares changed hands] was 1.32 times its recent average: busier than usual.

- No Moderna release or filing came out on Monday. One market-news site gave three reasons for the rise, but it cited no evidence: index funds [funds that automatically own every stock on a list] buying ahead of the Nasdaq-100 entry, the new chief operating officer's first day, and optimism about the cancer vaccine [TradingKey, 2026-10-05](#). Index funds usually buy at the close of the last day before a change (Thursday 10-08). So any Monday buying would be traders getting in ahead of them (inference, medium confidence). The Nasdaq-100 entry was announced on 2026-10-01, and the stock rose only 0.57% on Friday. So the entry news does not explain why the jump came on Monday.
- Biotech stocks rose broadly, which added about 1.42 points to Moderna's move. Two other companies had big trial wins: Vaxcyte jumped more than 30% on late-stage vaccine results, and Genmab about 11% on lymphoma [a blood cancer] data [Motley Fool, 2026-10-05](#).
- Date check: the full Phase 3 [the last and largest round of testing in patients before a drug can be approved] melanoma results will be presented at the ESMO (European Society for Medical Oncology) cancer conference. They are in a "Presidential Symposium", the conference's main session for the most important new trials. It is on Saturday 2026-10-24 at 10:30 a.m. New York time (16:30 Madrid), with a

company webcast at 1:00 p.m. New York time [Moderna via ACCESS Newswire, 2026-09-21](#).

How this works An index fund owns every stock on a list in proportion to its size. When Moderna joins the Nasdaq-100, funds that copy that list must buy its shares, whatever they think of the company. That demand is predictable, so some traders buy earlier, hoping to sell to the funds later. It changes who owns the shares, not the business. The business itself is still small: Moderna is not selling the cancer vaccine yet. Last quarter its revenue was \$145 million and its net loss \$0.8 billion, so it lost more than five times what it took in [Moderna Q2 2026 results, 2026-07-31](#).

Case to stay

1. The Phase 3 trial with Merck met its main goals. A success at this final stage is rare in cancer [Moderna/Merck, 2026-08-19](#).
2. The full data got the conference's top slot. That says nothing about the numbers, but it shows the organisers rate the trial as important (inference, medium confidence) [Moderna via ACCESS Newswire, 2026-09-21](#).
3. It raised \$3.0 billion in September, nearly four times last quarter's \$0.8 billion loss, so cash is not an immediate worry [SEC 8-K, 2026-09-01](#).

Case to retreat

1. The price rests on data nobody has seen yet. After its 177% jump on the trial headline, the stock fell about 24% the next day, from \$174.38 to \$133.32 (data/prices/MRNA.csv), which shows how hard it can swing.
2. Citi rates it Sell and sees the stock at \$80, less than half of Monday's \$203.21 close. Citi argues the price already assumes about \$13 billion a year of cancer-vaccine sales [CNBC, 2026-09-30](#). For scale, Moderna's whole revenue last quarter was \$145 million.
3. The September bonds are convertible bonds [loans that can turn into shares]. Above about \$210.58 a share (the conversion price), they can turn into about 14 million new shares, about 3.6% more, which would dilute owners. Monday's close of \$203.21 is 3.5% below that line. A capped call [a hedge that cancels those new shares up to a ceiling price] covers that up to about \$392.62 [SEC 8-K, 2026-09-01](#).

Thesis check Watch, unchanged. Pillar 1 in theses/MRNA.md (the full data confirm a clear benefit with acceptable side effects) is tested on 10-24. No trigger was hit. Trigger 6 (another large share or bond sale): not hit.

Coming up Index funds are expected to buy at the close on 10-08; Moderna joins the Nasdaq-100 on 10-09 (confirmed). Full melanoma data at the ESMO cancer conference on 10-24, 10:30 a.m. New York time (confirmed). Q3 results about 10-29 (estimated).

Position: TSM (Taiwan Semiconductor Manufacturing)

Bottom line: TSMC (ticker TSM) rose 2.75%, and most of that was its own move: the most unusual company move in your portfolio today. Nobody has confirmed why. One possible reason (inference, low-to-medium confidence) is that Elon Musk confirmed, over the weekend, early talks about TSMC helping his Texas "Terafab" chip project. AI-chip leaders also rallied, and no source ties the move to one cause. It touched a new 52-week high during the day. Thesis: **Intact**.

Where it stands 0.030 shares, entry \$485.80 (the sheet's estimate), worth \$14.57; Monday +2.75% (it opened at \$478.77). It closed 0.3% below the day's high of \$487.46, its 52-week high. RSI is 75.6 [a 0–100 gauge of how fast it has risen; above 70 means a very fast climb]. A typical day moves it about 2.2%, so Monday's 2.75% was a bit bigger than usual.

What happened, and why *Market vs company:* of Monday's +2.75%, about +0.79 points came from the

market, -0.11 from chip stocks and +2.08 from TSMC itself. The z-score of 1.53 means that company part was about one and a half normal swings: noticeable, though not rare.

- The tech newsletter Culpium reported on Friday 2026-10-02 that TSMC was exploring ways to help Terafab. Terafab is a chip-factory project in Grimes County, Texas, from Musk's companies SpaceX, xAI and Tesla. Its first phase is planned at over \$16.8 billion, about a quarter of what TSMC itself plans to spend on factories this year (see "Case to retreat"; our calculation). On Saturday 2026-10-03 Musk replied on X (formerly Twitter): "Just discussions, but something may come of it." No TSMC comment appears in the reports we read. We found no tier-1 or tier-2 source, so this rests on tier-3 reports [Motley Fool, 2026-10-05](#). TSM had already risen 2.96% on Friday, the day of the first report. So only Musk's reply was new over the weekend (data/prices/TSM.csv).
- Ahead of results on 10-15, JPMorgan's analysts expect revenue at the top of TSMC's own forecast: \$45.8 billion, with a 66.8% gross margin [the share of sales left after the direct cost of making the chips]. Taiwanese press reports price rises of 5–10% for advanced chips from January 2027, which would mean more revenue per chip. Neither is confirmed by TSMC [TrendForce, 2026-10-05](#).
- Other candidates on the same day: AI-chip leaders rallied, with NVIDIA up 2.12% to a record and the Nasdaq at a record, although the chip fund SMH as a whole rose less than the market (its part of TSMC's move was -0.11 points) [Motley Fool, 2026-10-05](#). No source ties Monday's move to one cause.

How this works TSMC is a foundry [a factory that makes chips other companies design], like a printing house that prints other people's books. Its customers are chip designers, including AMD, which you also own (AMD section). A big anchor customer [a first customer whose orders make a new factory worth building] would help fill the factory space TSMC is building in the US. The structures under discussion range from TSMC running a plant funded partly by Terafab, to Terafab owning it with TSMC providing the know-how (TrendForce, above). Nothing is agreed. The number that shows AI demand is TSMC's own sales: August was a record NT\$514.81 billion (New Taiwan dollars), up 53.3% from a year earlier [TSMC, 2026-09-10](#).

Case to stay

1. Monthly sales are at records, driven by AI chips [TSMC, 2026-09-10](#).
2. Q2 revenue was US\$40.20 billion (+36%) with a 67.7% gross margin, meaning it kept about 68 cents of each sales dollar after direct production costs [TSMC Q2 2026 results, 2026-07-16](#).
3. A possible new US anchor customer. These are talks only, but Musk confirmed them himself (tier-3 report) [Motley Fool, 2026-10-05](#).

Case to retreat

1. The talks may lead nowhere: Intel has been Terafab's only named chip partner (same article). A deal could also mean more heavy spending; TSMC already plans \$60–64 billion of capex [money for factories and machines] this year (TrendForce, above).
2. TSMC's own guidance [its forecast] puts the Q3 gross margin lower (65–67%, against 67.7% in Q2), because new 2-nanometre factories [its newest, most advanced chip-making process] cost more at first [TSMC Q2 2026 results, 2026-07-16](#).
3. Your trigger 5 (a Taiwan conflict) and trigger 6 (US chip tariffs [taxes on imported chips]) show no early warning today. But the tariff decision is still pending (tier-3 reports). Separately, a patent case at the US International Trade Commission (a federal agency that can block imports) involves TSMC-made chips. One of the patent holders settled with TSMC in September [Law360, 2026-09-04](#). Reports that a decision on the rest was due in October could not be verified.

Thesis check Intact. The pillars in theses/TSM.md on AI-driven sales and margins are unchanged, and no trigger was hit. Trigger 6 (US chip tariffs) is still a pending decision.

Coming up September sales on 2026-10-08. Q3 results on 2026-10-15 at 2:00 a.m. New York time

(confirmed); TSMC's own forecast is US\$44.6–45.8 billion of revenue.

Position: ASML (ASML Holding)

Bottom line: ASML, your largest position, slipped 0.40% on a normal, newsless day. Thesis: **Watch**. That is not because of anything today: your thesis file records early warnings, from tier-3 reports, on two of your triggers (the US MATCH Act, and a possible ban on servicing machines in China). The next real test is the 10-14 results.

Where it stands 0.014 shares, entry \$1,859.86 (the sheet's estimate), worth \$26.04, which is 13.1% of your money; Monday –0.40%. It is 7.0% below its 52-week high of \$1,999.96, and a typical day moves it about 2.7%.

What happened, and why *Market vs company:* of Monday's –0.40%, about +0.52 points came from the market, –0.16 from chip stocks and –0.77 from ASML itself (normal size, z-score –0.48).

- No material news in the window. Yesterday's deep dive (reports/deep-dives/ASML-2026-10-04.md) remains the full background.

How this works ASML builds lithography machines, the "projectors" that print circuit patterns onto silicon. Its top machines use extreme ultraviolet (EUV) light, and nobody else sells them. It sold 48 EUV systems in 2025, and four customers made up 61.2% of sales [ASML 20-F, 2026-02-25](#). For the third quarter it expects €11.0–12.0 billion of sales and a 55–57% gross margin [ASML Q2 2026 results \(6-K\), 2026-07-15](#).

Case to stay

1. It is the sole supplier of EUV machines; 2025 sales were €32.7 billion (+15.6%) with a 52.8% gross margin [ASML 20-F, 2026-02-25](#).
2. The 2026 forecast was raised twice, to €43–45 billion [ASML Q2 2026 results \(6-K\), 2026-07-15](#).
3. It has more cash than debt and keeps buying back its own shares (deep dive, Section 5.3).

Case to retreat

1. The price assumes a lot. Investors pay about 60 times the last 12 months' profit, against 34–37 times at each of the last four year-ends. A return to that range with profits unchanged would mean a price about 40% lower (deep dive; our calculation, not a forecast).
2. China is expected to be about 20% of 2026 sales [Investing.com, 2026-07-15](#). The proposed MATCH Act could cut off older machines and servicing there; its status is unconfirmed (tier-3 reports) [NL Times, 2026-08-20](#).
3. Four customers made up 61.2% of 2025 sales, so a pause by one big chipmaker shows up quickly [ASML 20-F, 2026-02-25](#).

Thesis check Watch. Your approved theses/ASML.md shows an early warning partly present on trigger 6 (the MATCH Act reportedly heading into the defence bill) and present on trigger 8 (draft text reportedly including servicing in China). Both rest on unconfirmed tier-3 reports, and nothing new appeared today. The pillars on EUV leadership and the €43–45 billion forecast are intact.

Coming up Q3 results on 2026-10-14, before the US open.

Position: PANW (Palo Alto Networks)

Bottom line: PANW rose 0.87%, slightly less than cybersecurity stocks as a group. The only company news was a small pre-planned share sale by its chief accounting officer. Thesis: **Intact**.

Where it stands 0.050 shares, entry \$406.76 (the sheet's estimate), worth \$20.34; Monday +0.87%. It is 0.7% below its 52-week high of \$409.50, and a typical day moves it about 4.1%.

What happened, and why *Market vs company:* of Monday's +0.87%, about +0.68 points came from the market, +0.85 from cybersecurity stocks and -0.66 from Palo Alto itself (normal size).

- Chief accounting officer Josh Paul sold 400 shares at \$395.70 under a 10b5-1 plan adopted 2025-09-17 [a selling schedule set in advance]. Another 1,308 shares were withheld to pay tax on stock that vested [became his to keep under his pay plan]. Both are routine [SEC Form 4, 2026-10-05](#).

How this works Palo Alto sells security for company networks, cloud systems and logins, mostly as subscriptions. Its key number is next-generation security ARR [the yearly value of subscriptions customers have signed]: \$9.10 billion, up 63% [PANW Q4 FY2026 results, 2026-09-01](#).

Case to stay

1. Quarterly revenue was \$3.41 billion (+34%), above forecasts; next year's forecast is \$14.10–14.20 billion (Q4 release above).
2. New AI-security services, such as Unit 42 Frontier AI Defense [Palo Alto Networks, 2026-09-22](#).
3. In late September, NVIDIA named Palo Alto (and CrowdStrike) as partners in its new platform for controlling what AI agents can do [Help Net Security, 2026-09-29](#).

Case to retreat

1. The price is high: about 97–98 times next year's expected adjusted profit per share (our calculation: \$406.76 divided by the company's guidance of \$4.16–4.19).
2. Bernstein downgraded the stock on 2026-09-18, saying it had run past fair value [Motley Fool, 2026-09-18](#).
3. Growth is expected to slow from 34% to 23–24% next year as the CyberArk boost fades. Under GAAP it lost \$0.35 a share last quarter (Q4 release above).

Thesis check Intact. No trigger in theses/PANW.md was hit. Trigger 6 (GAAP losses widen two quarters in a row) is not hit, with one loss quarter so far.

Coming up Q1 FY2027 results [FY is the company's own accounting year], estimated mid-to-late November (not confirmed).

Position: CRWD (CrowdStrike)

Bottom line: CRWD rose 0.97%, carried by cybersecurity stocks, and touched its 52-week high during the day. There was no new company news. Thesis: **Intact**.

Where it stands 0.074 shares, entry \$272.67 (the sheet's estimate), worth \$20.18; Monday +0.97%. It closed 0.6% below the day's high of \$274.23, its 52-week high. It is up 132.7% this year, and a typical day moves it about 4.1%.

What happened, and why *Market vs company:* of Monday's +0.97%, about +0.87 points came from the market, +1.03 from cybersecurity stocks and -0.93 from CrowdStrike itself (normal size).

- No material news on Monday.
- On Friday, TD Cowen raised its price target [the price an analyst expects in about a year] to \$280 from \$250, keeping a Buy rating after meeting management and citing strong demand. That is an opinion, not new facts [Investing.com, 2026-10-02](#).

How this works CrowdStrike sells "Falcon", security software that watches companies' laptops, servers, cloud systems and logins for attacks, sold as yearly subscriptions. Total ARR was \$5.84 billion (+25%) and quarterly revenue \$1.47 billion (+26%) [CrowdStrike Q2 FY2027 results, 2026-08-26](#).

Case to stay

1. Record net new ARR of \$332.8 million (+51%), and results beat forecasts (Q2 release above).
2. The full-year revenue forecast was raised to \$5,991–6,011 million, and free cash flow was \$377.4 million last quarter (same release).
3. New sales channels for AI customers, such as the OpenAI Marketplace [CrowdStrike, 2026-09-29](#).

Case to retreat

1. It is expensive: the average analyst target (\$235.67) was below Friday's close [StockAnalysis, 2026-10-02](#).
2. GAAP profit is thin: \$5.3 million last quarter, or 1 cent a share (Q2 release above).
3. Top managers sold about \$210 million in a few weeks after the stock more than doubled. All of it was pre-planned, but none of them bought.

Thesis check Intact. No trigger in theses/CRWD .md was hit. Trigger 7 (ARR growth below 20%) is not hit: growth is 25%.

Coming up Q3 FY2027 results in early December (estimated, not confirmed).

Position: LITE (Lumentum)

Bottom line: LITE rose 0.58% on a quiet day after an 18.5% week; it touched a record \$1,124.40 during the day before fading. It set its results date for 2026-11-05. Thesis: **Intact**.

Where it stands 0.018 shares, entry \$1,091.67 (the sheet's estimate), worth \$19.65; Monday +0.58%. It closed 2.9% below the day's record high, and a typical day moves it about 6%.

What happened, and why *Market vs company:* of Monday's +0.58%, about +0.33 points came from the market, -0.26 from chip stocks and +0.50 from Lumentum itself (normal). Over five days, 10.2 of the 18.5 points were its own (z-score 0.92, still within normal range).

- Lumentum will report its Q1 FY2027 results on Thursday 2026-11-05 after the close, with a call at 5:00 p.m. New York time [Lumentum via Business Wire \(Yahoo Finance\), 2026-10-05](#).

How this works Inside AI data centers, chips talk to each other over longer distances with laser light through glass fibre. Lumentum makes the lasers and optical parts that turn electrical signals into light. Two customers made up 41.6% of last year's revenue. Unit sales are not disclosed. Last quarter's revenue doubled to \$1.01 billion (+109%) [Lumentum Q4 FY2026 results, 2026-08-11](#).

Case to stay

1. Revenue more than doubled, and next quarter is guided to \$1.225–1.275 billion (Q4 release above).
2. Management said it is still shipping behind demand for its lasers (tier-3 transcript) [Investing.com, 2026-08-11](#).
3. Possible US limits on Chinese optical parts could help US makers. These are draft rules and a Senate bill, not law [Sen. McCormick, 2026-09-15](#).

Case to retreat

1. It is very jumpy: it lost 42.8% at its worst point in the past year (data/metrics).

2. Two customers are 41.6% of revenue, so one customer's plans can swing results.
3. Swapping convertible bonds for shares raised the share count about 13% last quarter [Lumentum 10-K, 2026-08-14](#).

Thesis check Intact. No trigger in theses/LITE.md was hit. The next check of pillars 1 and 2 (revenue inside guidance; demand bigger than supply) now has a confirmed date: 2026-11-05.

Coming up OCP Global Summit, a data-center hardware conference: Lumentum talks on 2026-10-14. Q1 FY2027 results on 2026-11-05 after the close (confirmed).

Position: STRL (Sterling Infrastructure)

Bottom line: STRL fell 1.89% while the market rose. Most of the dip was its own, but normal in size for this stock. The only news was a new chief lawyer. Thesis: **Intact**.

Where it stands 0.019 shares, entry \$523.33 (the sheet's estimate), worth \$9.94; Monday -1.89% (it opened at \$535.28). It is 48% below its June high of \$1,005.68. A typical day moves it about 5.1%, and it tends to move about three times as much as the market (beta 3.27).

What happened, and why *Market vs company:* of Monday's -1.89%, about +2.04 points came from the market, -0.57 from construction stocks and -3.36 from Sterling itself (normal size for STRL, z-score -0.75).

- Sterling appointed Katherine Hargis as Senior Vice President, General Counsel (the company's chief lawyer), Chief Compliance Officer and Corporate Secretary [SEC 8-K, 2026-10-05](#). This is a routine hire, not a likely reason for the price move.
- No material news explains the dip; for a stock this jumpy, a 3-point company move is ordinary noise.

How this works Sterling prepares the ground for big buildings: clearing, grading, foundations and utilities, mostly for data centers and factories. It is paid per project, so its backlog [signed work not yet done] shows future revenue: \$4.33 billion, up 116% [Sterling Q2 2026 results, 2026-08-03](#).

Case to stay

1. Revenue was \$1.168 billion (+90%), and the 2026 outlook was raised to \$4.00–4.15 billion (same release).
2. Backlog more than doubled, which means work is lined up for the coming year (same release).
3. It is profitable: positive net income in each of the last four quarters, and an operating margin of about 18.8% last quarter (SEC filings, data/fundamentals/STRL.json).

Case to retreat

1. Data centers are most of the growth, so a slowdown in AI building would hit it directly (inference, medium confidence).
2. It fell 54% at its worst this year (data/metrics).
3. A May 2026 shelf filing lets it sell new shares quickly whenever it chooses. None has been sold so far [QuiverQuant, 2026-05-18](#).

Thesis check Intact. No trigger in theses/STRL.md was hit. Trigger 6 (a share sale under the shelf adding more than 5%) is not hit.

Coming up Q3 results in early November (not confirmed).

Position: SNOW (Snowflake)

Bottom line: SNOW slipped 0.60% while software stocks rose about 1.2%, with no material news. Thesis:

Watch: your pillar 4 (contracted future revenue grows again) is weaker, because it fell once, from \$9.21 billion to \$9.00 billion. Nothing new today.

Where it stands 0.030 shares, entry \$338.99 (the sheet's estimate), worth \$10.17; Monday -0.60%. It is 11.8% below its 52-week high of \$384.56, and a typical day moves it about 4.1%.

What happened, and why *Market vs company:* of Monday's -0.60%, about +0.69 points came from the market, +0.72 from software stocks and -2.01 from Snowflake itself (normal size).

- No material news in the window. The \$3.75 billion convertible-bond sale was covered yesterday.

How this works Snowflake stores companies' data in the cloud and lets them analyse it. Customers pay for the computing they use, like a taxi meter, so more AI work on their data means more billing. Product revenue was \$1,491.9 million (+37%), and existing customers spent 26% more than a year earlier (net revenue retention 126%) [Snowflake Q2 FY2027 results, 2026-09-02](#).

Case to stay

1. Growth has sped up for three quarters in a row (release above).
2. Customers spend more each year (release above).
3. The new bonds pay 0% interest, and a hedge limits dilution up to \$820.30 a share [SEC 8-K, 2026-10-02](#).

Case to retreat

1. Contracted future revenue (remaining performance obligations: signed contracts not yet billed) slipped from \$9.21 billion to \$9.00 billion in the quarter. It also had a GAAP loss of \$191.7 million (research file of 2026-10-04, from company releases).
2. If the bonds convert, there would be about 2.2% more shares, up to about 4% (8-K above).
3. A shareholder class action is pending. Snowflake's request to dismiss it is due 2026-10-13 (10-Q, per the 2026-10-04 research file).

Thesis check Watch. Pillar 4 in theses/SNOW.md is weaker: contracted future revenue fell once (\$9.21 billion to \$9.00 billion), and the test is the Q3 results. Trigger 4's early warning would be a second fall, so it is not present yet. Trigger 5 (new shares or convertibles adding more than 5%) is not hit, at about 2.2–4%.

Coming up Court deadline on 2026-10-13. Q3 FY2027 results about 2026-12-02 (not confirmed).

Position: VIAV (Viavi Solutions)

Bottom line: VIAV slipped 0.40%, ending a run of 13 higher closes in a row, with no business news. BlackRock reported owning 10.1% of the company. **Correction:** the chief financial officer also sold about \$2.04 million of shares outside a plan on 2026-08-31. Thesis: **Watch.**

Where it stands 0.200 shares, entry \$46.91 (the sheet's estimate), worth \$9.38; Monday -0.40%; up 14.8% over five days. It is 22.4% below its 52-week high of \$60.43, with an RSI of 71.8.

What happened, and why *Market vs company:* of Monday's -0.40%, about +0.15 points came from the market, -0.21 from chip stocks and -0.35 from VIAVI itself (normal).

- BlackRock reported owning 24,923,503 shares, 10.1% of VIAVI, as of 2026-09-30. It filed a Schedule 13G, the short form for large holders who do not try to influence the company [SEC Schedule 13G/A, 2026-10-05](#). This mostly reflects index funds, and it says nothing new about the business.
- Correction (background, outside the window): CFO Ilan Daskal sold 56,290 shares at \$36.29 (about

\$2.04 million) on 2026-08-31, without the 10b5-1 box checked [SEC Form 4, 2026-08-31](#). Yesterday's report listed three such sellers (about \$4.2 million). With the CFO it is four, about \$6.2 million, between 08-10 and 09-11.

How this works VIAVI sells test equipment that checks whether networks, fibre links and data-center connections work at full speed, like a mechanic's diagnostic computer for internet cables. Quarterly revenue was \$443.1 million, up 52.5% [VIAVI Q4 FY2026 results, 2026-08-05](#).

Case to stay

1. Revenue rose 52.5% and beat its own guidance (same release).
2. Next quarter is guided higher, to \$450–460 million (same release).
3. Management aims for about \$500 million a quarter during 2027 (company call, per the 2026-10-04 research file).

Case to retreat

1. Four insiders, including the CFO, sold about \$6.2 million in August–September without pre-planned plans (Form 4s above and the 2026-10-04 research file).
2. It sold about 12.8 million new shares at \$45 in May, raising the share count about 15% in a year [Investing.com, 2026-08-05](#).
3. After 13 up days in a row, momentum (buyers chasing a rising price) explains more of the run than new facts do (inference, medium confidence).

Thesis check Watch. Trigger 6 in theses/VIAV.md (two or more insiders selling outside plans within a month) was met in August–September, and the CFO is now among them. It is outside the current window. Trigger 5 (a share sale of 5% or more) is not hit.

Coming up Q1 FY2027 results estimated 2026-10-28 (not confirmed); annual meeting on 2026-11-11.

Position: BE (Bloom Energy)

Bottom line: BE fell 0.86% while the market rose, with no company news. Thesis: **Watch:** its biggest project's delay and a shareholder lawsuit are still unresolved.

Where it stands 0.030 shares, entry \$286.65 (the sheet's estimate), worth \$8.60; Monday –0.86%. It is 18.4% below its 52-week high of \$351.28. A typical day moves it about 7%, and it tends to move about four times as much as the market (beta 4.22).

What happened, and why *Market vs company:* of Monday's –0.86%, about +1.50 points came from the market, –0.29 from clean-energy stocks and –2.07 from Bloom itself (normal noise).

- No material news in the window.
- Background: the stock rose 34.3% in September, which the article credits to a new factory lease in Fremont, Barclays' higher target and new deals [Motley Fool, 2026-10-05](#).

How this works Bloom's fuel cells turn natural gas into electricity on site without burning it. Data centers buy them because the power grid cannot connect them fast enough. Last quarter revenue was \$1,065.4 million (+165.5%), with \$226.4 million of operating cash flow [Bloom Q2 2026 results, 2026-07-28](#).

Case to stay

1. Revenue rose 165.5%, and the 2026 outlook was raised to \$3.9–4.2 billion (same release).
2. Demand comes from AI data centers and utilities: Ameren plans 500 megawatts of fuel cells, according

to Barclays [Investing.com, 2026-10-02](#).

3. Oracle, Blue Owl and Bloom all say the Jupiter contract remains in force [CNBC, 2026-09-24](#).

Case to retreat

1. Its biggest project is delayed: the gas pipeline will not arrive before February 2027 (same CNBC report).
2. A securities class action filed on 2026-07-30 is pending [D&O Diary, 2026-08-02](#).
3. It is very jumpy: it lost 52.7% at its worst point in the past year (data/metrics).

Thesis check Watch. The Jupiter pillar in theses/BE.md is weaker, because force majeure [a contract clause that excuses delays caused by events outside the parties' control] was invoked and the pipeline slipped to February 2027. Trigger 5 (contract cancelled or cut) and trigger 7 (supply-chain statements found false) are not hit.

Coming up Q3 results about 2026-10-27 (not confirmed).

Position: AXTI (AXT Inc)

Bottom line: AXTI rose 0.92%, all of it from the market. BlackRock disclosed owning 14.3% of the company. Thesis: **Watch:** China's export permits for US customers are still missing.

Where it stands 0.100 shares, entry \$86.66 (the sheet's estimate), worth \$8.67; Monday +0.92%; up 17.6% over five days. It is 39.5% below its 52-week high of \$143.16 and is your most volatile stock: a typical day moves it about 8%.

What happened, and why *Market vs company:* of Monday's +0.92%, about +1.15 points came from the market, -0.29 from chip stocks and +0.06 from AXT itself (essentially zero).

- BlackRock reported owning 9,359,639 shares, 14.3% of AXT, as of 2026-09-30. One of its funds, the iShares Core S&P Small-Cap ETF, alone holds more than 5% [SEC Schedule 13G/A, 2026-10-05](#). These are passive holdings, mostly index funds.
- No new permit news was found. Permits for US customers were still not issued at the last report [AXT 10-Q, 2026-08-13](#).

How this works AXT makes wafers (thin discs that lasers are built on), mostly from indium phosphide (InP), mainly in China. AI data centers use InP lasers, so wafer demand soared. Revenue rose from \$18.0 million to \$47.6 million in a year (research file of 2026-10-04, from the call transcript).

Case to stay

1. Revenue rose about 2.6 times in a year. Lumentum reserved capacity with two \$43.5 million deposits [AXT 8-K, 2026-07-29](#).
2. Q3 guidance of about \$66 million would be another record (call transcript, tier 3).
3. Few other suppliers can make InP wafers at scale (inference, medium confidence).

Case to retreat

1. China controls the permits, and US customers still cannot get them (10-Q above).
2. In April it sold 8.56 million new shares at \$64.25, raising the share count about 15% [AXT 424B5, 2026-04-21](#).
3. In June the CEO and three directors sold shares without pre-planned plans [SEC Form 4, 2026-06-03](#).

Thesis check Watch. Pillar 2 in theses/AXTI.md (permits keep flowing) is weaker for US customers. No trigger was hit. Trigger 6 (another share sale of 5% or more) is not hit.

Coming up Q3 results on 2026-10-29 after the close (confirmed).

Position: FORM (FormFactor)

Bottom line: FORM dipped 0.78% while about 11 times its normal number of shares changed hands. That was almost certainly index funds swapping it from S&P's small-company list to its mid-size list at Monday's close; the price barely moved. Thesis: **Intact**.

Where it stands 0.050 shares, entry \$147.99 (the sheet's estimate), worth \$7.40; Monday -0.78%. It is 7.7% below its 52-week high of \$160.27, with an RSI of 71.3 after a 42.4% rise in a month.

What happened, and why *Market vs company:* of Monday's -0.78%, about 0 came from the market, -0.31 from chip stocks and -0.46 from FormFactor itself (normal).

- About 13.9 million shares traded, against a 20-day average of about 1.28 million (data/prices/FORM.csv). S&P moves FormFactor from the SmallCap 600 into the MidCap 400 before the open on Tuesday 2026-10-06 [S&P Dow Jones Indices, 2026-10-01](#), so funds copying both lists traded at Monday's close (inference, high confidence). Small-company funds sold while mid-size funds bought, so the price barely moved.

How this works Before chips are cut from a wafer, each one is tested with thousands of tiny needles on a "probe card". FormFactor makes those cards, especially for the high-bandwidth memory used in AI. Each card is custom-made and wears out, so demand repeats. Q2 revenue was a record \$258.2 million (+31.9%) [FormFactor Q2 2026 results, 2026-07-29](#).

Case to stay

1. Record revenue and a 53.3% adjusted margin; Q3 is guided to \$270 million $\pm$ \$10 million (same release).
2. Memory makers report booming AI-memory sales; Micron's quarterly revenue was \$54.23 billion [Micron 8-K, 2026-09-30](#).
3. Joining the MidCap 400 reflects its growth in size.

Case to retreat

1. Management says about a third of Q2's margin gain was one-off, so margins may slip (call transcript, per the 2026-10-04 research file).
2. One customer, SK hynix, was 24.3% of revenue (10-Q, per the 2026-10-04 research file).
3. It already trades above the average analyst target (\$138.63, tier 3) after a 42% month.

Thesis check **Intact**. No trigger in theses/FORM.md was hit. Trigger 6 (adjusted gross margin below 50%) is not hit: it was 53.3%.

Coming up Joins the S&P MidCap 400 on 2026-10-06 (confirmed). The CEO speaks at an investor summit on 10-13. Q3 results about 10-28 (estimated).

Position: AMD (Advanced Micro Devices)

Bottom line: AMD slipped 0.34%, a little behind the market and chip stocks, with no company news. Stifel raised its price target to \$700 ahead of results. Thesis: **Intact**.

Where it stands 0.010 shares, entry \$631.75 (the sheet's estimate), worth \$6.32; Monday -0.34%. It is 2.1% below its 52-week high of \$645.46, and a typical day moves it about 3.7%.

What happened, and why *Market vs company*: of Monday's -0.34%, about +0.81 points came from the market, -0.22 from chip stocks and -0.93 from AMD itself (normal).

- Stifel analyst Ruben Roy raised his price target to \$700 from \$635 and kept a Buy rating. He expects results above forecasts and a higher outlook, and says AI hardware sales are limited by supply, not demand [Investing.com, 2026-10-05](#). That is an opinion, not new facts.

How this works AMD designs processors: central processing units (CPUs), the general-purpose "brains" of computers, and graphics processing units (GPUs) [chips that do many small calculations at once, which suits AI]. TSMC manufactures them. Data-center revenue was \$6.7 billion last quarter, up 107% [AMD Q2 2026 results, 2026-08-04](#).

Case to stay

1. Revenue was \$11.5 billion (+50%), with data center up 107% (same release).
2. It has large multi-year AI deals: OpenAI in 2025 and Anthropic in 2026 (research file of 2026-10-04).
3. Q3 is guided to about \$13.0 billion, up 41% (same release).

Case to retreat

1. It is up 187% in six months, so expectations are high. It fell 7% after a strong report in August (data/metrics; research file of 2026-10-04).
2. Its Helios racks (complete cabinets of AI servers) only start ramping in late 2026 (research file of 2026-10-04).
3. Paying for World Labs in shares dilutes owners by about 0.8% [SEC 8-K, 2026-09-28](#).

Thesis check Intact. No trigger in theses/AMD.md was hit. Trigger 3 (Helios delayed) is not hit.

Coming up Lisa Su's keynote at the OCP summit on 2026-10-12 (confirmed). Q3 results about 2026-11-03 (estimated).

Position: A (Agilent Technologies)

Bottom line: Agilent rose 2.09%: about half from the market and half its own (normal), with no news. Your Monday purchase should qualify for its dividend, whose record date is Tuesday. Thesis: **Intact**.

Where it stands 0.030 shares, entry \$171.29 (the sheet's estimate), worth \$5.14; Monday +2.09% (it opened at \$167.35). It is 3.3% below its 52-week high of \$177.05. A typical day moves it about 2.9%, and it moves less than the market (beta 0.85).

What happened, and why *Market vs company*: of Monday's +2.09%, about +0.98 points came from the market, +0.03 from health-care stocks and +1.07 from Agilent itself (normal, z-score 0.62).

- No material news in the window.

How this works A dividend is cash a company pays its owners, and you get it only if you are on the books on the record date. US share trades settle (the shares and cash actually change hands) one business day after the trade. So a purchase on Monday settles on Tuesday 2026-10-06, Agilent's record date. Its dividend is 25.5 cents per share, paid on 2026-10-28 [Agilent via Business Wire, 2026-09-16](#), so your 0.03 shares should earn about 0.77 cents (inference: assumes Fidelity filled the order on Monday). The business sells laboratory instruments, supplies and service, about \$1.88 billion a quarter [Agilent Q3 FY2026 results, 2026-08-26](#).

Case to stay

1. Two beats and two raised forecasts in a row (release above).
2. Customer orders have exceeded shipments for 10 quarters (company call, per the 2026-10-04 research file).
3. It behaves differently from your chip stocks: 60-day correlations with them run from -0.11 to 0.21 (data/metrics/portfolio-2026-10-05.json).

Case to retreat

1. UBS lowered its rating to Neutral with a \$165 target, below Monday's close [TipRanks / The Fly, 2026-09-09](#).
2. \$0.06 of last quarter's profit per share was a one-time tariff refund (release above).
3. Growth is modest (+7.3% core), so the price depends on steady execution (inference).

Thesis check Intact. No trigger in theses/A.md was hit. Trigger 3 (correlation with your chip stocks rises a lot) is not hit.

Coming up Dividend record date on 2026-10-06, paid on 2026-10-28. Q4 results in late November (not confirmed).

Position: CRDO (Credo Technology)

Bottom line: CRDO fell 2.82% while chip stocks rose about 0.5%, with no new company news. Most of the move was its own, but normal in size. Its Chief Legal Officer sold about \$1.03 million of shares outside a plan. Thesis: **Watch:** the gross-margin drop is still unresolved.

Where it stands 0.020 shares, entry \$212.48 (the sheet's estimate), worth \$4.25 (your smallest position); Monday -2.82% (it opened at \$220.83). It is 31.2% below its 52-week high of \$308.67, and a typical day moves it about 6.7%.

What happened, and why *Market vs company:* of Monday's -2.82%, about +0.70 points came from the market, -0.25 from chip stocks and -3.27 from Credo itself (normal size, z-score -0.69).

- Chief Legal Officer James Laufman sold 5,000 shares at \$205.00 on 2026-10-01 (about \$1.03 million, about 3% of his holding), without the 10b5-1 box checked [SEC Form 4, 2026-10-05](#). He is one person, so this does not meet your "several insiders" breaker.
- No published reason explains Monday's fall. Automated news sites linked it to insider sales, but the largest of those, the chief operating officer's pre-planned \$10.3 million sale, was public on Friday [SEC Form 4, 2026-10-02](#). So it is an unlikely cause (inference, medium confidence).

How this works Credo makes active electrical cables [copper cables with a small chip at each end that strengthens the signal] and chips for optical links, which connect servers and switches inside AI data centers. Q1 revenue was \$479.0 million, up 114.7% [Credo Q1 FY2027 results, 2026-09-01](#).

Case to stay

1. Revenue more than doubled, and next quarter is guided to \$525–535 million (release above).
2. Full-year growth is guided above 85% (same release).
3. It is expanding into optical chips through its DustPhotonics purchase [Credo via Business Wire, 2026-05-27](#).

Case to retreat

1. Four customers are 84% of revenue (10-Q, per the 2026-10-04 research file).
2. The standard gross margin fell to 64.5% from 68.2% (release above), and the stock fell about 20% the

next day.

3. Insiders sold more than \$40 million in about two weeks and bought nothing. Most of it was pre-planned, but the latest sale was not.

Thesis check Watch. The gross-margin pillar in theses/CRDO.md is weaker (64.5% from 68.2%). Trigger 5 needs a fall in two quarters in a row, so it is not hit yet.

Coming up Q2 FY2027 results about 2026-12-02 (not confirmed).

Your portfolio as a whole

Where you are: \$199.47 across 16 stocks at Monday's close, with profit or loss \$0.00 by the sheet's method (entry = Monday's close). At your share counts, the same basket rose \$2.12 (+1.08%) from Friday's close; the S&P 500 fund rose 0.67%. Biggest weights: ASML 13.1%, MRNA 10.2%, PANW 10.2%, CRWD 10.1%, LITE 9.9%. Because the weights are fairly even, the portfolio behaves like about 12.6 equal-sized positions out of 16 (data/metrics/portfolio-2026-10-05.json).

Concentration in one story: about \$6.20 of every \$10 (61.8%) rides on AI data-center spending. Within that, chips and optics move together strongly. Over the past 60 days, LITE and AAOI, and LITE and VIAV, both had a correlation of 0.84 (1.0 means they move in lockstep). ASML and FORM were at 0.80. CRWD and PANW move almost as one (0.91). MRNA and Agilent barely move with the rest.

Typical bad day: on 1 day in 20, this mix lost about 4.7% or more over the past year. That is about **\$9.34** on \$199.47 (one-day 95% value at risk, VaR). On those bad days the average loss was about 5.4%. If the whole market fell 5%, history suggests this portfolio would fall about 11.9%, roughly **\$23.70**, because it moves about 2.4 times as much as the market (beta 2.38). Its worst fall over the past year, held as-is, would have been 24%.

Against your goals You want to diversify beyond tech: today 77.9% of your money is in technology companies, 12.8% in health care (MRNA, A) and 9.3% in industrials (STRL, BE), and 61.8% rides on AI data centers. You want it reasonably safe: its yearly volatility (how bumpy the ride is) is about 45.7%, and it moves about 2.4 times as much as the market. You want some high movers: 12 of 16 stocks (72.0% of the money) move at least 1.5 times as much as the market. Every holding is set up in config/portfolio.toml.

Next 14 days:

Date	Event
Tue 2026-10-06	FORM joins the S&P MidCap 400 (confirmed); Agilent dividend record date
Thu 2026-10-08	TSMC September sales; index funds expected to buy MRNA at the close
Fri 2026-10-09	MRNA joins the Nasdaq-100 (confirmed)
2026-10-12 to 10-15	OCP Global Summit: AMD keynote 10-12, Lumentum talks 10-14
2026-10-13	Snowflake court filing deadline; FormFactor CEO at an investor summit
2026-10-14	ASML Q3 results, before the US open
2026-10-15	TSMC Q3 results, 2:00 a.m. New York time
Just after	MRNA melanoma data 10-24 (confirmed); BE ~10-27; VIAV, FORM ~10-28; AXTI 10-29 (confirmed); MRNA ~10-29; LITE 11-05 (confirmed)

Lesson of the day

You own 0.074 of a CrowdStrike share: what does that mean?

A **share** is one equal slice of a company. Owning shares makes you a part-owner. When the company becomes more valuable, the price of each slice tends to rise, and when it pays out cash (a dividend), each slice gets the same amount.

A **fractional share** is a piece of one slice. Your broker records that you own, say, 0.074 of one CrowdStrike share. This is what let you spread \$199.47 across 16 companies: one whole ASML share costs \$1,859.86, more than nine times your whole portfolio.

A fraction behaves exactly like a whole share, just scaled down:

- **Same percentage return.** On Monday a whole CrowdStrike share rose 0.97%, from \$270.04 to \$272.67, a gain of \$2.63. A 0.074 slice held through that day would have moved $0.074 \times \$2.63 \approx \0.19 . That is also 0.97%.
- **Same dividend per share, scaled down.** Agilent pays 25.5 cents per share. Your 0.03 shares would get $0.03 \times 25.5 \approx 0.77$ cents.

So owning less than one share does not change how good or bad an investment is. It only changes how many dollars ride on it. That is why this report always shows both: the percentage (how the company did) and the dollars (what it meant for you).

Check yourself: if CrowdStrike rose 10% from Monday's close of \$272.67, what would your 0.074 shares be worth, and how many dollars would you have gained? (Answer at the end.)

New words today

- **Fractional share:** a piece of one share. It earns the same percentage as a whole share, just on fewer dollars.
- **At-the-market (ATM) offering:** a company selling new shares a little at a time into the market through a broker, instead of in one big sale.
- **Selling overhang:** steady selling (here, the company's own new shares) that weighs on a price until it stops.
- **Schedule 13G:** the short form a large, passive holder (5% or more, not trying to influence the company) files with the SEC. A 13D is the long form for activists.
- **Index rebalancing:** index funds buying and selling on the day a company joins or leaves their list, usually at the closing price.
- **Treasury yield:** the interest rate the US government pays to borrow. When it rises, safe bonds compete harder with shares.
- **Interest-rate rise (rate hike):** the central bank making borrowing more expensive to slow price rises. Investors usually treat it as bad for share prices.
- **Conversion price:** the share price above which a convertible bond's lender gains by swapping the loan for shares.
- **Presidential Symposium:** the main session of a big medical conference, kept for the most important new trial results.
- **Foundry:** a factory that manufactures chips designed by other companies.
- **Anchor customer:** a big first customer whose orders make a new factory worth building.
- **General Counsel:** a company's chief lawyer.
- **Settlement (T+1):** when the shares and the cash actually change hands. In the US that is one business

day after the trade.

- **Record date:** the day you must be on the company's books to receive a dividend.
- **Price target:** the price an analyst expects a stock to reach in about a year. It is an opinion, not a fact.
- **Remaining performance obligations:** contracts customers have signed but not yet been billed for, so future revenue already agreed.
- **VaR (value at risk):** a loss exceeded only on the worst 1 day in 20, based on past behaviour.
- **Fiscal year (FY):** a company's own accounting year, which need not match the calendar.
- **S&P 500 and Nasdaq-100:** lists (indexes) of large US companies. The S&P 500 holds about 500 and is used as "the market". The Nasdaq-100 holds 100 large, mostly tech, companies on the Nasdaq exchange. Index funds copy these lists.
- **52-week high:** the highest price of the past year.
- **Stop-loss and target:** prices you set in advance in columns S and T of your sheet. A stop-loss is where you would sell to limit a loss; a target is where you would take profit.
- **Phase 3 trial:** the last and largest round of testing in patients before a drug can be approved.
- **Insider:** a company's top managers and directors. They must report their own trades in its shares.
- **Source tiers:** how much this report trusts a source. Tier 1 = the company or a regulator said it. Tier 2 = top newsrooms. Tier 3 = useful, but to be confirmed.
- **Pillar, trigger and thesis status:** in your thesis files, a pillar is something that must stay true for your reason to own a stock, and a trigger is a warning sign you wrote down in advance. The status runs Intact (nothing important contradicts your reasons), Watch (a pillar is weaker or uncertain), Challenged (hard evidence contradicts a pillar) and Broken (a trigger has clearly happened).

Data quality and sources

- **Holdings:** read from your FIDELITY sheet ("Trades" tab) with the Google Drive connector, read only, on 2026-10-05 at 21:42 UTC. All 16 rows are open trades dated 2026-10-05. There is no fill price, stop-loss or target, so entry prices are the sheet's estimate (Monday's close) and profit or loss is \$0.00. The ticker "A " has a trailing space in the sheet; it was read as A. The "+\$1.22 if filled at the open" figure uses Yahoo's official opening prices (data/prices/), not your actual fills.
- **Pipeline:** every step ran (holdings, prices, metrics, attribution, portfolio risk, rules, SEC filings). Fundamentals were not refreshed today (weekly).
- **Research:** the 16 research agents all stopped before saving their files: first a usage limit (it reset at 02:10 Madrid), then stalls after they were resumed. The main session redid the research itself after the limit reset, reading the new SEC filings directly on EDGAR and using about 25 web searches. As a result there are no data/research/2026-10-05/<TICKER>.json files for today. Quieter stocks got a lighter news check than usual, and leads the agents mentioned but could not finish were checked one by one; the rest are listed here.
- **Not confirmed:** no published cause for MRNA's or CRDO's Monday moves beyond tier-3 commentary. The AAOI 10b5-1 date comes from a Form 144 field (adoption date 2026-03-19). AAOI's share count after the sale (at least 90.26 million) is our calculation: the last filed count plus the shares sold; share awards since 2026-08-03 would add to it. The status of the remaining part of the TSMC patent case (ITC investigation 337-TA-1443) is unknown. An agent lead about a UBS note on Moderna could not be found.
- **Older figures** marked "(research file of 2026-10-04)" sit with their original sources in data/research/2026-10-04/<TICKER>.json.
- **Most earnings dates are estimates;** confirmed ones are TSMC 10-15, ASML 10-14, AXT 10-29 and Lumentum 11-05.
- Prices: Yahoo Finance (via the pipeline). Filings: SEC EDGAR. Fundamentals: SEC XBRL company facts. Market-vs-company splits: data/metrics/attribution-2026-10-05.json.
- **Answer to "check yourself":** $\$272.67 \times 1.10 \approx \299.94 a share; $\times 0.074 \approx \mathbf{\$22.20}$. That is about \$2.02 more than the \$20.18 it is worth now: a 10% gain, the same as a whole share.

Informational research and education, not investment advice. The decisions are yours.